

OPTION AGREEMENT

This OPTION AGREEMENT (the "Agreement"), made and effective as of March 18, 2022, ("the Effective Date") is by and between:

NEW YORK UNIVERSITY (hereinafter "NYU"), a corporation organized and existing under the laws of the State of New York and having a place of business at 70 Washington Square South, New York, New York 10012;

AND

Transformadores KaVe (hereinafter "CORPORATION"), a corporation organized and existing under the laws Colombia having its principal office at
Calle 10 No 42-67 Local 435,
El Poblado – Medellín, Ant. Colombia 050021

RECITALS

WHEREAS, Dr. Francisco de Leon of NYU (hereinafter "the NYU Scientist") has made certain inventions relating to toroidal transformers, all as more particularly described in U.S. patents owned by NYU identified in annexed Appendix I and forming an integral part hereof ("the Pre-Existing Inventions"); and

WHEREAS, subject to the terms and conditions hereinafter set forth, CORPORATION wishes to receive an option to license NYU's rights in the NYU Patents (as hereinafter defined), and NYU is willing to grant CORPORATION such an option;

NOW, THEREFORE, in consideration of the mutual promises and agreements contained herein, the parties hereto hereby agree as follows:

1. Definitions.

Whenever used in this Agreement, the following terms shall have the following meanings:

1.01. "Field" shall mean utility power distribution.

1.02. "NYU Patents" shall mean the patents listed in Appendix I, and any reissues, renewals and extensions thereof.

1.03. "Option" shall have the meaning set forth in Section 4.01.

1.04 "Option Period" means the period from the Effective Date to the six (6) month anniversary of the Effective Date, which shall be extended to the one year anniversary of the Effective Date should CORPORATION extend the Option Period by

providing the notice and payment specified in Section 5.02 prior to the six month anniversary of the Effective Date.

2. Effective Date.

This Agreement shall be effective as of the Effective Date and shall remain in full force and effect until it expires or is terminated in accordance with Section 8 hereof.

3. Title.

3.01. All right, title and interest, in and to the NYU Patents, and in and to any drawings, plans, diagrams, specifications, and other documents containing any of the NYU Patents shall vest solely in NYU.

3.02. For so long as the NYU Scientist is employed by NYU, any and all inventions made by the NYU Scientist shall be owned solely by NYU. CORPORATION shall notify NYU in writing prior to engaging the NYU Scientist as a consultant, advisory board member or in any other capacity and shall report to NYU annually on such engagement, including the nature of the engagement and the amount of any compensation (including equity) paid to the NYU Scientist.

4. Option.

4.01 NYU hereby grants to CORPORATION and CORPORATION hereby accepts from NYU the option to acquire an exclusive, worldwide license under NYU's rights in the NYU Patents to commercially develop products in the Field (hereinafter the "Option"). Such license shall be subject to the right of NYU to use and practice the NYU Patents for its own academic and research purposes and to grant other non-profit institutions the right to use the NYU Inventions for their education and research purposes, and any rights of the U.S. Government.

4.02 The Option may be exercised by CORPORATION only by written notice to NYU prior to the expiration of the Option Period.

4.03 Upon exercise of the Option, the parties shall negotiate in good faith a definitive license agreement, which shall include inter alia a commercially reasonable royalty payable to NYU, a requirement that CORPORATION diligently develop the licensed NYU Patents in accordance with a mutually agreeable development plan; indemnification of NYU by CORPORATION; and a requirement that CORPORATION obtain and maintain insurance at a mutually agreeable level. If the parties are unable to negotiate and conclude a definitive license agreement within one-hundred and twenty (120) days after exercise of the Option by CORPORATION (the "Negotiation Period"), then CORPORATION shall have no further rights to the NYU Patents and NYU shall be free to license the NYU Patents to third parties, provided, however, that for four (4) months after termination of the Negotiation Period, NYU shall not license the NYU Patents to a third party on terms which in the aggregate are more favorable to the third party than terms previously offered by NYU to CORPORATION, unless the more favorable terms

have been offered to CORPORATION, and CORPORATION has declined such terms or not responded within 30 days.

4.04 CORPORATION shall not be entitled to make any commercial use of the NYU Patents except upon exercise of the Option and execution of a written license agreement in connection therewith.

5. Option Fee.

5.01. In consideration for the grant of the Option, CORPORATION provide to NYU upon the six (6) month anniversary of the Effective Date, a report on CORPORATION's commercial exploration of toroidal transformers, and its view on the economic viability of distribution toroidal transformers. If CORPORATION extends the Option Period pursuant to Section 5.02, then CORPORATION shall provide to NYU an update of such report upon the twelve month anniversary of the Effective Date.

5.02. Should CORPORATION wish to extend the Option Period for an additional six (6) months, then prior to the six (6) month anniversary of the Effective Date, CORPORATION shall pay to NYU a non-refundable option fee of two thousand dollars (\$2,000).

6. Patents and Patent Applications.

6.01. At the initiative of CORPORATION or NYU, the parties shall consult with each other regarding the prosecution of all NYU Patents.

6.02. All patent applications and proceedings with respect to the NYU Patents shall be filed, prosecuted and maintained by NYU through patent counsel selected by NYU. Against the submission of invoices, CORPORATION shall reimburse NYU for all costs and fees incurred by NYU during the term of this Agreement in connection with the filing, maintenance, prosecution, post-grant proceedings, protection and the like, of the NYU Patents, payable within thirty (30) days after receipt of an invoice from NYU. At any time following the Effective Date, NYU shall have the right at NYU's discretion by written notice to require CORPORATION to provide advanced payment of any specific patent expenses for a particular NYU Patent prior to NYU incurring such expenses, and to abandon such NYU Patent if CORPORATION does not provide such advanced payment.

6.03. If at any time during the term of this Agreement CORPORATION decides that it is undesirable, as to one or more countries, to prosecute or maintain any patents or patent applications within the NYU Patents, it shall give prompt written notice thereof to NYU, and upon receipt of such notice CORPORATION shall be released from its obligations to bear all of the expenses to be incurred thereafter as to such countries in conjunction with such patent(s) or patent application(s) and such patent(s) or application(s) shall be deleted from the NYU Patents and NYU shall be free to grant rights in and to the NYU Patents in such countries to third parties, without further notice or

obligation to CORPORATION, and such NYU Patents shall no longer be subject to the Option in such countries.

7. Expiry and Termination.

7.01. Unless earlier terminated pursuant to Section 7.02 or 7.03 below, this Option Agreement will terminate upon the expiration of the Option Period. The provisions of Sections 3, 5.01, 7, 8, 12, 13, and 14 hereof shall survive and remain in full force and effect after any expiration, cancellation or termination of this Agreement, including early termination as set forth below.

7.02. At any time prior to expiration of this Agreement, either party may terminate this Agreement for cause, as "cause" is described below, by giving written notice to the other party. Cause for termination by one party of this Agreement shall be deemed to exist if the other party materially breaches or defaults in the performance or observance of any of the provisions of this Agreement and such breach or default is not cured within sixty (60) days after receipt of written notice thereof from the non-breaching party.

7.03. Either party to this Agreement may, upon giving notice of termination, immediately terminate this Agreement upon receipt of notice that the other party has become insolvent or has suspended business or has filed a voluntary petition or an answer admitting the jurisdiction of the U.S. Bankruptcy Court in the material allegations of, or has consented to, an involuntary petition purporting to be pursuant to any reorganization or insolvency law of any jurisdiction, or has made an assignment for the benefit of creditors or has applied for or consented to the appointment of a receiver or trustee for a substantial part of its property.

7.04. Any amount payable hereunder by one of the parties to the other, which has not been paid by the date on which such payment is due, shall bear interest from such date until the date on which such payment is made, at the rate of two percent (2%) per annum in excess of the prime rate prevailing at the Citibank, N.A., in New York, New York, during the period of arrears and such amount and the interest thereon may be set off against any amount due, whether in terms of this Agreement or otherwise to the party in default by any non-defaulting party.

7.05. Upon expiration or termination of this Agreement pursuant to Sections 7.01 - 7.03. above, all rights in and to the NYU Patents shall revert to NYU, and CORPORATION shall not be entitled to make any further use whatsoever of the NYU Patents.

7.06. Termination of this Agreement shall not relieve either party of any obligation to the other party incurred prior to such termination.

8. Confidential Information.

8.01. Except as otherwise provided in Section 9.02. below, CORPORATION shall maintain any and all of the NYU Patents in confidence and shall not release or disclose

any tangible or intangible component thereof to any third party without first receiving the prior written consent of NYU to said release or disclosure.

8.02. The obligation of confidentiality set forth in Section 9.01. shall not apply to any component of the NYU Patents which was part of the public domain prior to the Effective Date or which becomes a part of the public domain not due to some unauthorized act by or omission of CORPORATION after the Effective Date or which is disclosed to CORPORATION by a third party who has the right to make such disclosure.

9. Representations and Warranties by CORPORATION.

CORPORATION hereby represents and warrants to NYU as follows:

(1) CORPORATION is a corporation duly organized, validly existing and in good standing under the laws of Colombia. CORPORATION has been granted all requisite power and authority to carry on its business and to own and operate its properties and assets. The execution, delivery and performance of this Agreement have been duly authorized by the Board of Directors of CORPORATION.

(2) There is no pending or, to CORPORATION's knowledge, threatened litigation involving CORPORATION which would have any effect on this Agreement or on CORPORATION's ability to perform its obligations hereunder; and

(3) There is no indenture, contract, or agreement to which CORPORATION is a party or by which CORPORATION is bound which prohibits or would prohibit the execution and delivery by CORPORATION of this Agreement or the performance or observance by CORPORATION of any term or condition of this Agreement.

10. Representations and Warranties by NYU.

10.01. NYU hereby represents and warrants to CORPORATION as follows:

(1) NYU is a corporation duly organized, validly existing and in good standing under the laws of the State of New York. NYU has been granted all requisite power and authority to carry on its business and to own and operate its properties and assets. The execution, delivery and performance of this Agreement have been duly authorized by the Board of Trustees of NYU.

(2) There is no pending or, to NYU's knowledge, threatened litigation involving NYU which would have any effect on this Agreement or on NYU's ability to perform its obligations hereunder; and

(3) There is no indenture, contract, or agreement to which NYU is a party or by which NYU is bound which prohibits or would prohibit the execution and delivery by NYU of this Agreement or the performance or observance by NYU of any term or condition of this Agreement.

10.02. EXCEPT FOR THE EXPRESS WARRANTIES STATED ABOVE, NYU DISCLAIMS ALL WARRANTIES INCLUDING ALL IMPLIED WARRANTIES OF MERCHANTABILITY AND FITNESS FOR A PARTICULAR PURPOSE AND ALL LIABILITY FOR INFRINGEMENT. NYU SHALL HAVE NO LIABILITY FOR ANY MACHINE DOWNTIME, OR DAMAGES CAUSED BY ANY ALLEGED DEFECT, DEFICIENCY, OR ERROR IN THE NYU TECHNOLOGY. NOTHING HEREIN CONTAINED SHALL BE DEEMED TO BE A WARRANTY BY NYU THAT THE NYU PATENTS WILL AFFORD ADEQUATE OR COMMERCIALY WORTHWHILE PROTECTION.

11. Fair Market Value.

The parties agree and acknowledge that the compensation provided under the terms of this Agreement is consistent with the fair market value of the Option contemplated by this Agreement negotiated in arm's-length transactions, is not given in exchange for any implicit or explicit agreement to provide favorable procurement decisions with regard to the CORPORATION's products or services, and has not been determined in any manner which takes into account the value or volume of any business generated between the parties, including any of their affiliates.

12. No Assignment.

Neither CORPORATION nor NYU shall have the right to assign, delegate or transfer at any time to any party, in whole or in part, any or all of the rights, duties and interest herein granted without first obtaining the written consent of the other to such assignment.

13. Use of Name.

Without the prior written consent of the other party, neither CORPORATION nor NYU shall use the name of the other party or any adaptation thereof or of any staff member, employee or student, of the other party: (i) in any product labeling, advertising, promotional or sales literature; or (ii) in connection with any public offering or private placement documentation or prospectus or in conjunction with any application for regulatory approval, unless disclosure is otherwise required by law, in which case either party may make factual statements concerning the Agreement or file copies of the Agreement after providing the other party with an opportunity to comment and reasonable time within which to do so on such statement in draft.

Except as provided herein, neither NYU nor CORPORATION will issue public announcements about this Agreement without prior written approval of the other party.

14. Miscellaneous.

14.01. In carrying out this Agreement the parties shall comply with all local, state and federal laws and regulations including but not limited to, the provisions of Title 35 United States Code §200 et seq. and 15 CFR §§730-774.

14.02. If any provision of this Agreement is determined to be invalid or void, the remaining provisions shall remain in effect.

14.03. This Agreement shall be governed by and construed in accordance with the laws of New York, without regard to principles relating to conflicts of law. The courts of the State of New York in New York County and the United States District Court for the Southern District of New York shall have exclusive jurisdiction over the parties with respect to any dispute or controversy between them arising under or in connection with this Agreement and, by execution and delivery of this Agreement, the parties to this Agreement submit to the jurisdiction of those courts, including, but not limited to, the in personam and subject matter jurisdiction of those courts, waive any objection to such jurisdiction on the grounds of venue or forum non conveniens, the absence of in personam or subject matter jurisdiction and any similar grounds, consent to service of process by mail in accordance with Section 15.04. or any other manner permitted by law and irrevocably agree to be bound by any such judgment rendered thereby in connection with this Agreement. These consents to jurisdiction shall not be deemed to confer rights on any person other than the parties to this Agreement.

14.04. All payments or notices required or permitted to be given under this Agreement shall be given in writing and shall be effective when either personally delivered or deposited, postage prepaid, in the United States registered or certified mail, or sent via a recognized national overnight delivery service (e.g., Federal Express or DHL), with a confirmation email copy, addressed as follows:

To NYU: New York University
 Office of Industrial Liaison
 One Park Avenue, 6th Floor
 New York, NY 10016

Attention: Abram M. Goldfinger
 Executive Director, Industrial Liaison/Technology Transfer
 Abram.goldfinger@nyulangone.org

With a copy of notices to:

Mark Righter, Esq.
Office of Legal Counsel
New York University
Bobst Library
70 Washington Square South
New York, NY 10012
Mark.righter@nyu.edu

To CORPORATION: Transformadores KaVe S.A.S.
Calle 10 # 42-67 Local 453
Medellín, Colombia 050021

Attention: Alejandro Ochoa
General Manager
aochoa@transformadoreskave.com

or such other address or addresses as either party may hereafter specify by written notice to the other. Such notices and communications shall be deemed effective on the date of delivery or fourteen (14) days after having been sent by registered or certified mail, whichever is earlier.

14.05. This Agreement (and the annexed appendices) constitute the entire Agreement between the parties and no variation, modification or waiver of any of the terms or conditions hereof shall be deemed valid unless made in writing and signed by both parties hereto. This Agreement supersedes any and all prior agreements or understandings, whether oral or written, between CORPORATION and NYU relating to the subject matter hereof.

14.06. No waiver by either party of any non-performance or violation by the other party of any of the covenants, obligations or agreements of such other party hereunder shall be deemed to be a waiver of any subsequent violation or non-performance of the same or any other covenant, agreement or obligation, nor shall forbearance by either party be deemed to be a waiver by such party of its rights or remedies with respect to such violation or non-performance.

14.07. The descriptive headings contained in this Agreement are included for convenience and reference only and shall not be held to expand, modify or aid in the interpretation, construction or meaning of this Agreement.

14.08. It is not the intent of the parties to create a partnership or joint venture or to assume partnership responsibility or liability. The obligations of the parties shall be limited to those set out herein and such obligations shall be several and not joint.

14.09. This Agreement may be executed in one or more counterparts, each of which will be deemed an original, and all of which will constitute one and the same instrument. Each party may execute this Agreement by facsimile transmission or in Portable Document Format sent by electronic means. Signatures of authorized signatories of the parties transmitted by facsimile or sent by electronic means in Portable Document Format shall be deemed to be original signatures, shall be valid and binding, and, upon delivery, shall constitute due execution of this Agreement.

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IN WITNESS WHEREOF, the parties hereto have executed this Agreement effective as of the date and year first above written.

NEW YORK UNIVERSITY

CORPORATION

By: Abram Goldfinger

Abram M. Goldfinger
Executive Director,
Industrial Liaison/Technology Transfer

Date: 3/17/22



By: _____

Name: Alejandro Ochoa
Title: General Manager

Date: 03/18/2022

Appendix I

Pre-Existing Inventions

US Patent 9,831,027 titled: Electrostatic shielding of transformers. Issued: 11/28/2017

US Patent 10,381,155 titled: Winding for low-voltage coils of distribution-class toroidal transformers issued: 08/13/2019